ISA – 315
Understanding the Entity & Its Environment & Assessing the Risks of Material Misstatement

1. Purpose:

The purpose of ISA-315 is to provide guidance on obtaining an understanding of the entity and its environment, including its internal control, and on assessing the risks of material misstatements in a financial statement audit.

2. The auditor should obtain:

- an understanding of the entity and its environment,
- including its internal control,

  - sufficient to identify and assess the risks of material misstatement of the financial statements whether due to fraud or error, and
  - sufficient to design and perform further audit procedures.

3. Overview of the requirements of this standard:

1) Risk assessment procedures and sources of information about the entity and its environment, including its internal control. *(para 6 to 19)*
2) Understanding the entity and its environment, including its internal control. *(para 20 to 99)*
3) Assessing the risks of material misstatement. *(para 100 to 119)*
4) Communicating with those charged with governance and management. *(para 120 to 121)*
5) Documentation. *(para 122 to 123)*

4. How does obtaining an understanding help auditor?

Such understanding establishes a frame of reference within which the auditor plans the audit and exercises professional judgment about assessing risks of material misstatement of the financial statements and responding to those risks throughout the audit.

For example when:

- Establishing Materiality and evaluating consistency of such level.
- Considering appropriateness of selection and application of accounting policies and the adequacy of F/S disclosures.
- Designing and performing further audit procedures to reduce audit risk to an acceptably low level.
- Evaluating the sufficiency and appropriateness of audit evidence obtained.

5. Extent of Understanding:

- Auditor uses professional judgment to determine extent of understanding to be obtained.
- This should be sufficient to assess risks and for designing and performing further audit procedures.
- It needs not be more than that of managements`.

A. Risk Assessment Procedures and Sources of Information about the Entity and Its Environment, Including Its Internal Control

6. Obtaining understanding is a continuous, dynamic process of gathering, updating and analyzing Info throughout the audit.
Such Information may be useful as audit evidence for risks assessment procedures.
The auditor may also gather other information which may be useful in performing audit procedures.
Performing substantive procedures and tests of controls concurrently may also be efficient.

Risk Assessment Procedures:
Risk assessment procedures means procedures to obtain understanding of:

a) The client or the entity;
b) Its environment i.e. the industry in which the client is engaged;
c) Accounting system & internal control system

7. The auditor should perform the following risk assessment procedures to obtain an understanding of the entity and its environment, including its internal control:

(a) Inquiries of management and others within the entity;

(BOD, Internal auditors, a/c personnel, legal advisor, other personnel e.g. marketing)

(b) Analytical procedures *(Ratio analysis);* **and**
(c) Observation and Inspection.

(Of client's activities, Inspection of documents, reading management reports, visit to the site, Walk-through test)

The auditor is not required to perform all the risk assessment procedures described above for each aspect of the understanding described in para 20. However, all the risk assessment procedures are performed are performed by the auditor in the course of obtaining the required understanding.

8. In addition, the auditor performs other audit procedures where the information obtained may be helpful in identifying risks of material misstatement. For e.g. considering past valuation experts. Review may also be beneficial *(reports by analysts, banks or rating agencies)*

9. Inquiries: (how they help)

- From Management; those responsible for Financial reporting; others within entity may be useful.
- TCWG = understand F. reporting environment;
- Internal Audit personnel = design and effectiveness of internal controls;
- Employees involved in passing A/C entries;
- In-house Legal Counsel – compliance, litigation, fraud, meanings of contract terms;
- Marketing Personnel – marketing strategy

10. Analytical Procedures:

- Identify the existence of unusual transactions or events;
- Amounts, ratios and trends that might identify matters relevant to F/S and Audit;
- Analytical Procedures provide a broad initial indication about existence of a material misstatement.
- Hence results of analytical procedures are considered along with other information.

11. Observation & Inspection:

- Support inquiry + provide information about the entity and its environment.
- Observation of entity's activities and operations
- Inspection of documents
- Reading reports prepared by management and TCWG
- Visits to entity's premises and plant
- Walk-throughs

12. Using prior information:
Auditor should determine whether there is any change that may affect the current audit.

13. Use of Other Information:

B. Understanding The Entity & Its Environment, Including Its Internal Control:

20. Understand the following aspects:

a. Industry, regulatory and other external factors including applicable FR Framework

Industry:	Regulatory	Other External Factors
• Competitive environment • Supplier and customer relationship • Technological development	• Applicable FR Framework • Legal and political Environment • Environmental requirements affecting the industry and the entity	• General economic condition

b. Nature of Entity

- (Nature = Operations, ownership and governance, types of investments that it is making and plans to make, structure and financed)
- Appropriateness and consistency of entity's selection and application of a/c policies

c. Objectives and strategies and the related business risks

- Business risk = broader – change, complexity, failure to recognize the need for a change.
- Auditor is not responsible to identify all business risks.
- Examples:
  - Imposition of GST by govt.
  - Severe competition = sales declined = increased borrowing
  - Small entities = only inquiries and observation is sufficient

d. Measurement and review of the entity's financial performance

- Important aspects of performance which may be important for management and others.
- Create pressure on the management; either positive or negative.
- Assists the auditor in considering whether such pressure results in increased risk.
- Performance indicators also provide information that enables management to identify deficiencies in internal control.

- Internally generated information:
  - Key performance indicators {Financial and non-financial (targets)}
  - Budgets; Variances; comparisons

- External Information:
  - Analyst Reports; Credit Rating Agencies

- Entity's IS produces most of internal information. If it is considered perfect, chances of error are higher

- Small entities = reliable bases (Internal auditor verification)

e. Internal Control relevant to audit

- o to identify types of potential misstatements
- o consider factors that affect the risks of material misstatements, and
- o design the nature, timing and extent of further audit procedures.

Internal Control is the process designed and effected by TCWG, management and other personnel to provide reasonable assurance about the achievement of entity's objectives with regard to:

- Reliability of financial statements;
- Efficiency and effectiveness of operations; and
- Compliance with applicable laws and regulations.

IC is designed and implemented to address the identified business risks that threaten the achievement of these objectives.

Components of Internal Controls:

a) The Control Environment
b) The Entity's Risks Assessment Process
c) The Information System, including the related business processes
d) Control Activities
e) Monitoring of Controls

Controls Relevant to the Audit:

1. Not all controls are relevant to Audit.

2. Controls (that are relevant to audit) related to:

   a) the entity's objective of preparing F/S for external purposes that give a true and fair view in accordance with applicable FR FW

   b) Management of risks that may give rise to a material misstatement in the F/S.

   c) Auditor , while exercising his judgment, considers the circumstances, the applicable components and factors e.g.:

      - Materiality; size of entity; Nature of business, organisation, ownership;
      - Diversity and complexity of operations; legal requirements;
      - nature and complexity of the systems that are a part of internal controls

3. Controls over the completeness and accuracy of information produced by the entity may also be relevant to the audit if the auditor intends to make use of the information in designing and performing further audit procedures. (Also uses his previous knowledge)

4. Controls relating to operations and compliance objectives may, however, be relevant to an audit if they pertain to data the auditor evaluates or uses in applying audit procedures.

5. Internal control over safeguarding of assets against unauthorized acquisition, use, or disposition may include controls relating to financial reporting and operations objectives.
   E.g. password for restricting access, programs that process cash disbursements.

6. Controls relevant to the audit may exist in any of the components of Internal Control.

Depth of Understanding of Internal Control:

1) Obtaining an understanding of IC involves:

   - Evaluating the design of a control, and
   - Its implementation.

2) Risk assessment procedures to obtain audit evidence about the design and implementation of relevant controls may include:

   - Inquiring of entity personnel
   - Observing the application of specific controls,
   - Inspecting documents and reports, and
   - Tracing transactions through the relevant IS.

3) Importance of automation

4) IT enables an entity:

   - to process large volumes of data consistently,
   - enhances the entity's ability to monitor the performance of control activities, and
   - to achieve effective segregation of duties by

     - Implementing security controls in applications, databases, and OS.

Characteristics of Manual and Automated Elements of IC relevant to the Auditor's Risk Assessment:

1. Controls in IT systems consist of a combination of automated controls and manual controls.

2. When IT is used to initiate, record, process or report transactions, or other financial data for inclusion in F/S, the systems and programs may include controls related to the corresponding assertions for material accounts or may be critical to the effective functioning of manual controls that depend on IT.

Benefits of IT:

Brings efficiency and effectiveness of IC, because it enables an entity to:

1. Consistent application of business rules and perform complex calculations;
2. Enhance the timeliness, availability, and accuracy of information;
3. Facilitate the additional analysis of information;
4. Enhances the ability to monitor the performance of the entity's activities and its policies and procedures;
5. Reduce the risk that controls will be by-passed;
6. Enhances the ability to achieve effective segregation of duties.

Disadvantages of IT:

1. Reliance on erroneous systems or programs
2. Unauthorized access to data.
3. Gaining excess privileges
4. Unauthorized changes to data in master files, systems or programs
5. Failure to make necessary changes to systems or programs
6. Inappropriate manual intervention
7. Potential loss of data or inability to access data as required.

Where Manual Controls are better to be used:

Where judgment and discretion are required.

1. Large, unusual or non-recurring transactions.
2. Unstructured errors.
3. Varying circumstances that require special consideration.
4. Monitoring of effectiveness of automated Controls.

Where Manual Controls are less suitable:

1. High volume or recurring transactions
2. Where errors can be prevented or detected by automated controls
3. Controls activities which can be adequately designed and automated to be performed.

Disadvantages of Manual Controls:

1. Less reliable.
2. More easily bypassed, ignored or overridden.
3. More prone to simple errors and mistakes.
4. Inconsistent application.

Limitations of Internal Controls:

Effective Internal Controls provide only reasonable assurance about achieving entity's financial reporting objectives because of inherent limitations of IC.

1. Human errors.
2. Errors in using information produced by IT.
3. Collusion.
4. Management override of ICs.
5. Edit checks built in programs can be overridden.

COMPONENTS OF INTERNAL CONTROLS

1. Control Environment:

Control Environment means overall attitude, awareness and importance given by management to ICs.

The auditor understands how management has created and maintained a culture of honesty and ethical behavior, and established appropriate controls to prevent and detect fraud and error within the entity.

Entity's CE has a pervasive effect on assessing the risks of material misstatement.

The auditor's evaluation of the design of the entity's CE includes considering whether the strengths in the CE elements collectively provide an appropriate foundation for the other components of IC, and are not undermined by CE weaknesses.

Characteristics of a good Control Environment:

a) Corporate Governance.
b) Communication and enforcement of integrity and ethical values. *(read para. 72)*
c) Commitment to competence.
d) Active participation by those charged with governance. *(read para. 70)*
e) Management's philosophy and operating style.
f) Organizational structure.
g) Assignment of authority and responsibility.
h) HR policies and Practices.

The existence of a satisfactory CE can be a positive factor when the auditor assess the risks of material misstatement and influences the nature, timing and extent of the auditor's further procedures.

The CE is not sufficient to prevent, or detect and correct, a material misstatement. The auditor ordinarily considers the effect of other components along with CE when assessing the risks of material misstatement.

2. The Entity's Risk Assessment Process:

The auditor should obtain an understanding of the entity's process for:

- identifying business risks relevant to FR objectives; and
- deciding about management's actions to address those risks, and
- the results thereof.

The auditor should also determine how management identifies business risks relevant to FR, and estimates the significance and likelihood of such risks, and decides upon actions to manage them.

The auditor should also identify the risks that the management has failed to identify, and the reasons why it happened.

3. Information System, Including the related business processes, relevant to financial reporting, and communication:

The relevant IS (A/C System) consists of the procedures and records established to initiate, record, process, and report entity transactions and to maintain accountability for the related assets, liabilities, and equity.

The auditor should obtain an understanding of IS including following areas:

a) Significant classes of transactions.
b) Accounting system
c) Related A/C records, supporting information, and specific A/Cs.
d) How IS captures significant events and conditions.
e) FR process for preparation of F/S

The auditor should understand how the entity communicates FR roles and responsibilities and significant matters relating to FR.

4. Control Activities:

Control Activities are policies and procedures that help ensure that management's directives are carried out.

The objective of obtaining an understanding of Control Activities is:

- to assess the risk of material misstatement in an A/C balance, and
- design further audit procedures.

Control Activities are developed to monitor reliability and integrity of A/C system.

Examples of specific control activities include those relating to the following:

a) Authorization.
b) Performance review.
c) Information Processing.
d) Physical Controls.
e) Segregation of Duties.

In particular, following duties should be segregated:

- Authorization,
- Recording, and
- Safe custody of relevant assets.

An audit doesn't require an understanding of all the Control activities related to each significant class f transaction, a/c balance, and disclosures.

The auditor's emphasis is on identifying and obtaining an understanding of control activities that address the areas where the auditor considers that material misstatements are more likely to occur.

The auditor should obtain an understanding of how the entity has responded to risks arising from IT.

A. General IT Controls:

GITC are policies and procedures that relate to many applications and support the effective functioning of application controls by helping to ensure the continued proper operation of ISs.

GITCs that maintain the integrity of information and security of data commonly include controls over the following:

a) Data center and network operations:

The organizational controls which include segregation of duties b/w the computer programmer and the data entry assistant.

b) System Software acquisition, change and maintenance.

Controls over approval and authorization of acquisition of system software i.e. only original and branded software should be acquired.

c) Access Security:

- The computer equipment should be physically safeguarded.
- Passwords should be issued.
- Entrance in the computer room should be restricted to authorized persons only.
- Entrance in the computer room should be prohibited after office hours except for any urgent task.

d) Application System acquisition, development and maintenance:

A proper feasibility should be prepared for the acquisition of an application system and its maintenance.

B. Application Controls:

Application controls are manual or automated procedures that typically operate at a business process level.

Application controls can be preventative or detective in nature and are designed to ensure the integrity of the a/c records.

Application controls relate to procedures used to initiate, record, process and report transactions or other financial data.

Examples:
Edit checks, numeric sequence check.

5. Monitoring of Control::

The auditor should obtained an understanding of the major types of activities that the entity uses to monitor internal control over financial reporting, including those related to those control activities relevant to the audit, and how the entity initiates corrective actions to its controls.

Monitoring of Controls is a process to assess the effectiveness of IC performance over time.
It involves assessing the design and operation of Controls and taking necessary corrective actions. This task is generally performed by the Internal Auditor.

C. Assessing the Risk of Material Misstatement:

The auditor should identify and assess the risks of material misstatement at the financial statement level, and at the assertion level for classes of transactions, a/c/ balance and disclosures.

For this purpose, the auditor:

- Identifies risks by considering the classes of transactions,...
- Relates the identified risks to what can go wrong in an A/C balance
- Consider the materiality of the risks
- Considers the likelihood of material misstatement as a result of occurrence of those risks.

General Controls are multiple control activities, together with other elements of IC, that are likely to prevent, or detect and correct, material misstatements in specific assertions.

Specific Controls are activities that may have a specific effect on an individual assertion embodied in a particular class of transactions or a/c balance.

Controls can be directly or indirectly related to an assertion. The more indirect the relationship, the less effective that control may be in preventing, or detecting and correcting, misstatements in that assertion.

Where auditor concludes that controls are weak enough that audit can't be conducted, the auditor considers a qualification or disclaimer of opinion, or the only recourse is to withdraw from engagement.

Significant risks that require special audit consideration:

- The auditor should determine which of the risks identified are risks that require special audit consideration.
- The determination of significant risks is a matter for the auditor's professional judgment.
- Significant risks often derived form business risks that may result in a material misstatement. In considering the nature of the risks, the auditor considers a no. of matters including the following:
  - Consider whether the risk is a fraud or an error
  - Whether the risk arises due to a change in a/c standards, or etc.
  - Complexity of transaction.
  - Transactions with related parties.
  - Degree of uncertainty involved.
  - Risk related to Unusual transactions
  - Whether a/c estimates are to be exercised.
- Risk of material misstatement may be greater for risks relating to significant non-routine transactions arising from matters such as the following:
  - Greater management intervention to specify the a/c treatment.
  - Greater manual intervention for data collection and processing.
  - Complex calculations or a/c principles.
  - The nature of non-routine transactions, which make it difficult for the entity to implement effective controls over the risks.

[Read para. 112 to 119 from standard.]

D. Communication with TCWG and Management:

The auditor should communicate weaknesses identified in the design and operation of entity's IC.

The communication should preferably in writing. Such a communication is technically called a Management Letter. It is normally written after interim audit.

E. Documentation:

The auditor should document following matters in his working papers:

1) The discussion with the engagement team
2) Key elements of understanding obtained by the auditor as regards industry, entity, objectives, strategies and business risks and Internal Controls.
3) Identified risks of material misstatements.
4) Risks for which substantive procedures alone do not provide sufficient appropriate audit evidence.

The understanding of IC is documented either through Flow Charts, Internal Control Questionnaire, or Narrative Description.